Get 'Er Done

We recommend that DIY investors consider our DIY framework. We've presented some relatively simple models, which only require an investor to hold seven assets (all of which can be replicated via exchange-traded funds), and apply a simple risk-management overlay once a month! We even provide the weights for each asset class associated with the DIY solution on our website (AlphaArchitect.com) each month to help readers make this happen. The downside is that the DIY strategy presented is more complicated than a simple 60/40 allocation, but investors are leaving a lot on the table by being *too* simple. And if successful, DIY investors will be paying themselves the 1 percent a year (or more) they would have had to pay a financial advisor to advise them on their asset allocation. The only costs will be the fees associated with the underlying ETFs utilized and/or commissions paid on individual securities purchased.

Now, before you get too excited, as we move from theory to practice, we need to consider the FACTS when selecting exposures that will help us implement the DIY strategy. Understand the fees, the liquidity, the complexity, the taxes, and the due-diligence costs associated with each exposure. Table 9.12 highlights the assets one might consider when implementing the DIY process. ETFs are preferred to mutual funds due to their tax efficiency, which is of utmost importance for taxable investors actively traded strategies. ETFs also have an edge over individual stock purchases because of the tax-efficiency. The benefit of individual stock purchase is the investor can avoid the fees attached to an ETF. ETNs are an interesting vehicle for commodities and bonds because of their enhanced tax-efficiency relative to ETFs. The downside of ETNs is they have potential counterparty risk issues. To keep things simple, we recommend finding ETF vehicles that give you exposure to passive Treasury bonds and exposures to commodity strategies that exploit term structure and momentum. The danger is that investors pay too much for active exposures, and/or buy closet-index exposures that don't actually give them the active exposure desired. However, as long as DIY investors consider the FACTS when determining their investments, and do their homework on the underlying vehicles they invest in, they can't go too wrong.